Netweb Technologies | BUY | Target Price | Rs: 4,000

Geared for rapid tech evolution and supply shocks

We upgrade our rating to "BUY" with a TP of 4,000 on Netweb and see limited impact from TPU adoption and supply related disruptions. We believe TPUs are at an early stage of adoption and largely internal to Google for training Gemini, rather than a broad commercial product. Netweb is technology-agnostic with no exclusivity commitments, allowing it to partner with TPU vendors and adapt designs quickly. Meanwhile, RAM and SSD markets are seeing a supply squeeze, with RAM prices up 2.5–3x due to surging data-centre demand and limited new capacity. This may impact gross margins slightly in Q4FY26 & Q1FY27, though we don't foresee execution delays for regular or AI-mission orders.

- **GPU > TPU for now:** Nvidia GPUs continue to lead AI compute as they remain the most effective and flexible platform for training large models, especially in the current phase where new architectures, datasets, and use cases are still being explored. While Google's TPUs—specialized ASICs designed for high-throughput tensor operations—have shown strong performance in training models like Gemini and can offer cost or efficiency advantages at scale, they remain limited to Google's ecosystem. Broader industry adoption will depend on more vendors entering the TPU-like ASIC space by FY27e. For now, GPUs are expected to dominate over the next 2–3 years, with TPUs likely to grow in relevance as workloads mature and cost efficiency becomes a greater priority.
- **Impact on Netweb**: Netweb's technology-agnostic architecture positions it well for any shift in the accelerator landscape. The company does not maintain exclusivity with any single component supplier and already works closely with all major global chip manufacturers through design-level partnerships. As and when TPUs or other AI-specific ASICs become commercially available, Netweb should be able to integrate them into its platforms with minimal friction. Consequently, even if the industry transitions from GPU-centric designs to TPU-based or hybrid architectures over time, we do not anticipate a material impact on Netweb's ability to execute or participate in future AI-compute demand.
- **Supply shock to persist till H1FY27:** The global DRAM market is dominated by Samsung, SK Hynix, and Micron, which together control over 95% of supply. Surging AI-driven demand from data centres has tightened availability, with suppliers prioritising high-value data-centre contracts over retail channels. This has pushed RAM prices up meaningfully—often 2.5–3x for certain categories—over the last few months. Server OEMs such as Netweb, Dell, and HP typically have only limited pricing pass-through flexibility in customer contracts, creating near-term margin pressure. While Netweb's long-standing supplier relationships support continuity of component allocation, we still expect some compression in gross margins through Q4FY26–Q1FY27 before the supply chain normalises.
- **Valuation & view**: We are factoring in 49.5%/51.4%/53.3% Revenue/EBITDA/PAT over FY25-FY28E, and value the company at 55x Q2 FY28 PE, resulting in a TP of Rs 4,000. *Our bull case estimates which include another Rs 10Bn of deal wins from AI mission in FY27 and gives us a TP of 4,790 (58% upside to CMP).* Our base case estimates do not factor any possible deal wins from AI mission or NSM 2.0. **Key risks:** Slowdown in execution of AI mission deals, cancellation of any orders won from AI mission, slowdown in organic growth from cloud and HPC's.

Target Price	4,000
CMP	3,135
Upside	28%

Price Performance (%)	1M	6M	1Yr*
NETWEB:IN	-6.8	60.7	8.5
NIFTY	1.4	3.3	5.3

Key Data	
Bloomberg Code	NETWEB:IN
Curr Shares O/S (mn)	56.7
Diluted Shares O/S(mn)	56.7
Mkt Cap (Rsbn/USDmn)	177.61/1,973
52 Wk H / L (Rs)	4,480/1,252
Daily Vol. (3M Avg.)	2.45

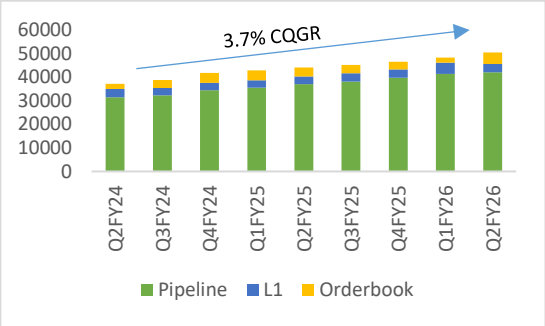
Source: ACE Equity, Bloomberg, MNCL Research

Shareholding pattern (%)

Particulars	Sep-25	Jun-25	Mar-25	Dec-24
Promoters	71.00	71.03	71.03	71.39
FIIs	10.82	9.54	10.67	11.10
DIIs	3.57	*4.23*	5.34	5.23
Public	14.62	15.20	12.97	12.28

Source: BSE

Strong Order Pipeline – 3.7% CQGR (Rs mn)



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Y/E Mar (Rs mn)	Revenue	YoY (%)	EBITDA	EBITDA (%)	PAT	YoY (%)	EPS	RoE	RoCE	P/E (x)	EV/EBITDA (x)
FY22	2,470	73.0%	345	14.0%	224	174.0%	*4.4*	*50.4%*	42.9%	1,059.1	511.9
FY23	4,450	80.1%	699	15.7%	469	109.4%	*9.1*	*67.9%*	66.7%	515.2	252.2
FY24	7,241	62.7%	1,025	14.2%	758	61.9%	*13.5*	*29.4%*	35.2%	231.4	170.1
FY25	11,490	58.7%	1,599	13.9%	1,144	50.8%	*20.2*	*24.0%*	31.1%	154.2	109.3
FY26E	24,100	109.7%	3,339	13.9%	2,353	105.7%	*41.5*	*36.3%*	49.4%	75.0	52.6
FY27E	35,575	47.6%	4,874	13.7%	3,557	51.1%	*62.8*	*37.7%*	49.8%	49.6	35.8
FY28E	38,421	8.0%	5,550	14.4%	4,121	15.9%	*72.7*	*31.0%*	40.2%	42.8	30.7

Source: Company, MNCL Research estimate

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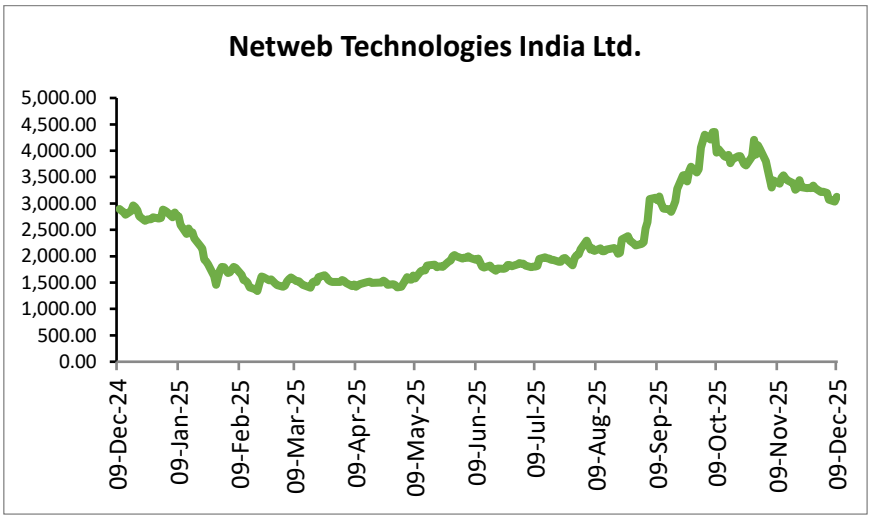
Price chart



Source: Ace equity